Uttar Pradesh's Bioplastic Ambition: Turning Sugarcane into Industrial Value



For years, manufacturers struggled to replace fossil-fuel plastics without losing scale or commercial viability. Under the leadership of Chief Minister Yogi Adityanath, Uttar Pradesh is addressing this bottleneck by converting its sugarcane surplus into a green manufacturing sector.

The Uttar Pradesh Bioplastic Industry Policy 2024 treats biodegradable plastics not just as an environmental fix, but as a core industrial asset. The strategy focuses on bringing in massive anchor investments and building a complete local supply chain around them.

Grounding the First Mega-Plant Producing polylactic acid (PLA) at scale requires high capital, specialized technology, and steady agricultural supplies. To de-risk the investment, Adityanath structured the policy to offer heavy incentives for projects committing at least ₹1,000 crore.

The state translated this strategy into ground reality within months:

• Foundation Stone Laid: In February 2025, Yogi Adityanath officially laid the foundation stone for India's first industrial-scale PLA plant at Kumbhi in Lakhimpur Kheri.

• Scale and Capital: Led by Balrampur Chini Mills, the project brings an estimated investment of ₹3,080 crore with an annual output capacity of 80,000 tonnes, targeting commissioning in FY27.

• Direct Farm Link: Building the facility adjacent to an existing sugar mill allows sugarcane feedstock to feed directly into polymer manufacturing, boosting the value of the state's agricultural produce. Developing the Bioplastic Park and Supply Chain A plant producing raw PLA pellets is only half the battle. To replace single-use plastics on store shelves, secondary manufacturers must convert those pellets into packaging, films, and finished containers.

To keep this entire value chain inside the state, Adityanath directed key industrial interventions:

• Dedicated Cluster: The state is setting up a Bioplastic Park at Kumbhi around the anchor plant, creating a unified hub for processors and packaging firms.

• MSME Access: Local converters get direct access to raw biopolymer without relying on expensive imports or supplies from outside the state.

• Targeted Incentives: The policy provides a 50% capital subsidy over seven years, 100% SGST reimbursement for 10 years, and a 10-year electricity-duty waiver, with total incentives capped at 200% of eligible investment.

Linking Farming to Advanced Manufacturing: The bioplastics push bridges sugarcane farming, industrial refining, and consumer goods manufacturing. Rather than keeping sugarcane tied only to traditional sugar and ethanol, the state is creating a sustainable industrial asset from an existing agricultural strength.

Policy at a Glance

Anchor Investment: ₹1,000 crore minimum	Capital Subsidy: 50% over seven years for eligible anchors	SGST Reimbursement: 100% for 10 years
Electricity Duty: 100% exemption for 10 years	Stamp Duty: 50%–100% exemption based on location	Overall Cap: 200% of eligible investment
Kumbhi Plant: 80,000 tonnes annual capacity; ₹3,080 crore investment		



Yogi Adityanath
Chief Minister, Uttar Pradesh

Narendra Modi
Prime Minister of India